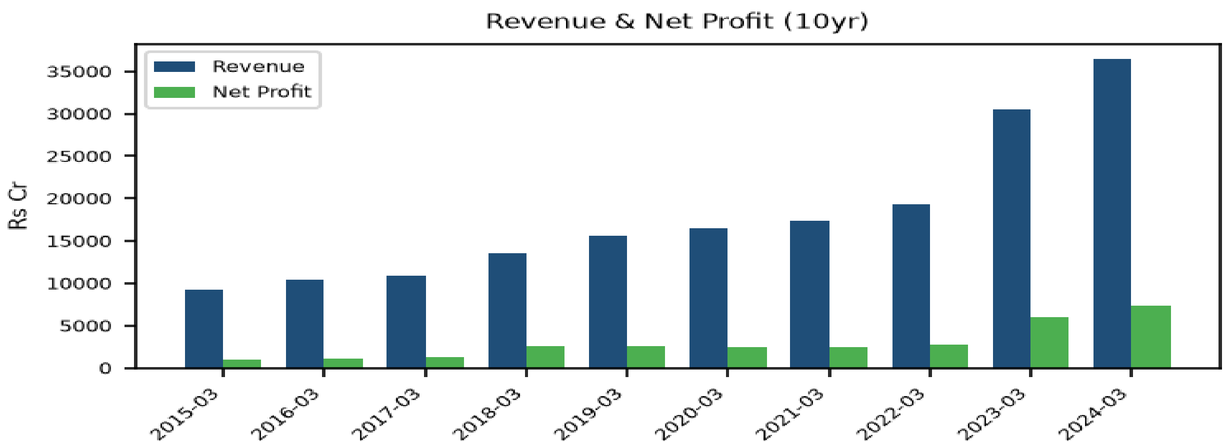
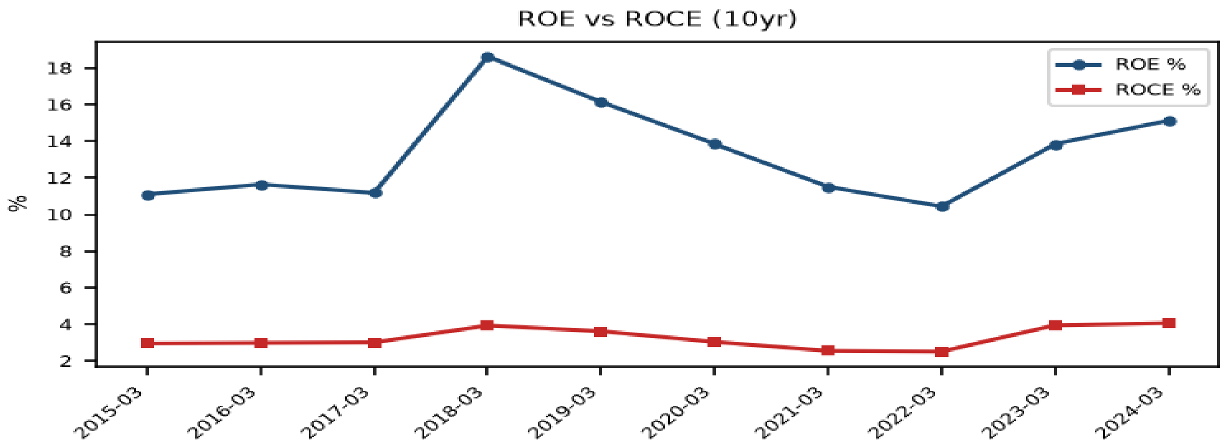
Shriram Finance Ltd (SHRIRAMFIN)

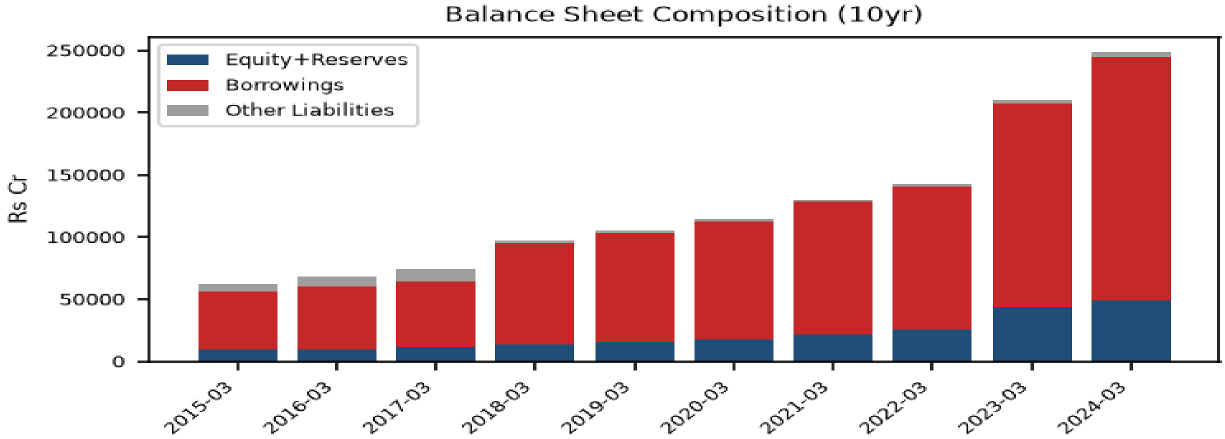
Sector: Financials

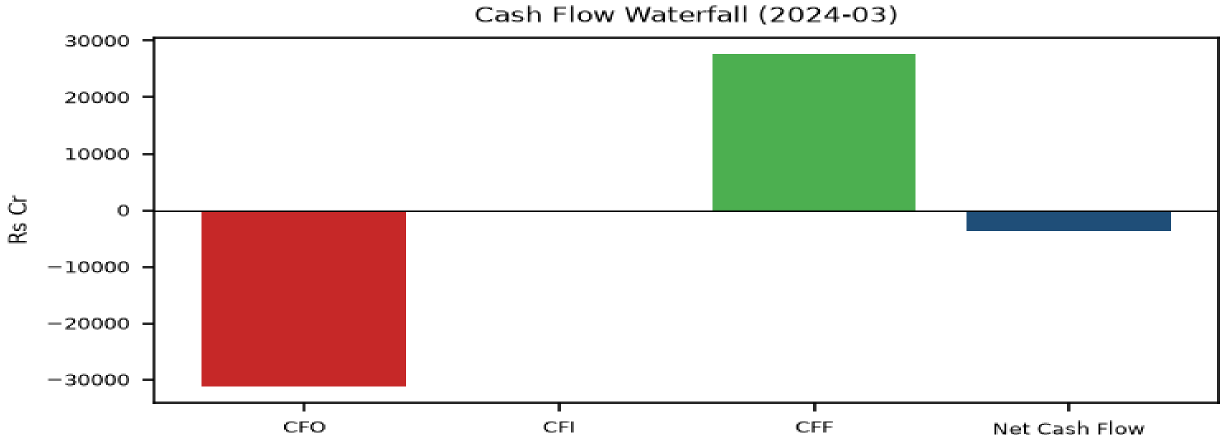
ROE	ROCE	D/E
15.1%	**4.1%**	**3.99x**

OPM	Revenue CAGR 5yr	Free Cash Flow
28.9%	**18.6%**	**Rs -31,359 Cr**









Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt